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RM CloseBot Knowledge Base

Upload target: CloseBot -> Knowledge Base (PDF).

This file = product knowledge + ICP + objection truth anchors only.

Role, booking rules, and voice live in the Job Information prompt - do not duplicate here.

Navigation index

#	Section	Use when lead asks...
A	Product overview	What is this / how does it work
B	Qualification basics	Do I qualify / what lenders look at
C	Use cases & goals	What people use it for / why they inquire
D	Key protections	Ownership, heirs, FHA/HECM, non-recourse
E	Stigma & common myths	Horror stories, scam, last resort, bank takes house
F	ICP & borrower psychology	Who this helps, what they fear, what they want
G	Product objections - truth anchors	Fear-based pushback on the product itself
H	HEI / equity-sharing	Shared equity, "no loan" ads, comparing options

A - Product overview

What is a reverse mortgage (HECM)?

A reverse mortgage is a way to refinance / access equity in a home you already own - built for retired homeowners, with no required monthly mortgage payment on the new loan. Interest and fees are added to the loan balance over time. You keep title and remain the homeowner. The loan is generally repaid when you sell, move out, or the last borrower passes away.

If the homeowner still has a forward mortgage, it is typically paid off at closing with proceeds from the new loan - same refi mechanics, different loan structure.

One-line summary

Access equity in your home without a required monthly mortgage payment - and you stay the owner.

How money can be taken

Lump sum, monthly payments (tenure or term), line of credit, or a combination. The unused HECM line of credit can grow over time on the unused portion.

What homeowners use funds for

Goal	How the program helps
Eliminate monthly mortgage payment	Pay off existing mortgage at closing
Supplement retirement income	Monthly deposits if desired
Home repairs, medical, in-home care	Lump sum or line of credit
Debt consolidation	Lower monthly outflows
Emergency / strategic buffer	Standby line of credit

Quick reality checks

- You do not give the home to the bank - you keep ownership.
- The loan balance grows over time; equity decreases unless home appreciation outpaces it.
- Not ideal if planning to move soon or cannot keep up with taxes, insurance, and maintenance.

B - Qualification basics

How qualification works (high level - no numbers)

1. Age - typically 62+ (at least one borrower on title).
2. Primary residence - must live in the home.
3. Equity - enough equity to support the loan (existing mortgage can be paid off at closing).
4. Property charges - ability and willingness to keep up with taxes, insurance, and maintenance.
5. Property type & condition - must meet program standards.

Key point: No traditional FICO minimum for HECM. Credit is assessed in context of property-charge obligations - not income docs like a forward refi.

Ongoing obligations after closing

- Live in the home as primary residence.
- Pay property taxes, homeowners insurance, and HOA dues.
- Maintain the property to program standards.
- Complete annual occupancy certification.
- Required independent counseling before closing (HECM).

C - Use cases & goals

What leads are usually trying to solve

Goal	Underlying need
Remove monthly mortgage payment	Stop money going out every month; free up cash flow
Pay off debt	Lower monthly stress; stop juggling bills
Access cash	Repairs, medical, care, emergencies, or lifestyle
Line of credit	Standby buffer without drawing immediately

What they are really buying

They are not buying a loan or a product name. They are buying:

- Peace of mind
- Dignity and independence
- Stability without depending on luck
- Relief from financial fear
- Ability to stay in the home they love

D - Key protections

Protection	What to know
Ownership	Borrower keeps title. The bank does not take the home while occupancy and property obligations are met.
Non-recourse	Borrower and heirs never owe more than the home's value when the loan is due.
Heirs	Heirs get remaining equity after the loan is paid. They can keep the home by paying off the balance or sell.
Spousal protections	Eligible non-borrowing spouses have protections under HECM rules.
FHA-insured HECM	Federally backed with required independent counseling before closing.
Flexibility	Can sell anytime; proceeds pay the balance and homeowner keeps remaining equity. No prepayment penalty for HECM.

E - Stigma & common myths

Why people are skeptical

- The name "reverse mortgage" carries decades of negative association from old programs and media coverage.
- Most horror stories come from older, unregulated programs - not today's federally insured HECM.
- Many people reject the name before engaging with how the modern program works.
- The industry has a trust deficit - education must come before product name.

Myth quick-reference

Myth	Truth
The bank takes my house	Borrower keeps title. Home stays theirs while they live there and meet taxes, insurance, and maintenance.
My kids will get nothing / inherit debt	Heirs are never personally liable. Non-recourse limits what is owed; remaining equity goes to heirs.
If home values drop, family owes a deficit	Non-recourse - neither borrower nor heirs owe more than home value when the loan is due.
No payments = forced payments later	No required monthly mortgage payment. Interest accrues to balance; optional payments anytime.
I can outlive the loan	Loan does not come due just because borrower lives longer - as long as they live there and meet obligations.
I must be mortgage-free	Can have existing mortgage; typically paid off at closing with proceeds.
Bad credit disqualifies me	No traditional FICO floor; lenders assess property-charge ability.
Reverse mortgages are scams	HECMs are FHA-insured, require independent counseling, and carry firm consumer protections.
Only for people in financial trouble	Many use strategically - remove a payment, build standby line of credit, fund care or repairs.
Once I take it, I cannot sell or move	Can sell anytime; proceeds pay balance and homeowner keeps remaining equity.
Taking one means I failed financially	Retirement cash-flow tool for house-rich homeowners optimizing liquidity.
Proceeds are taxable income	Loan advances, generally not taxable income - tax pro should confirm.
This will reduce Social Security or Medicare	SS and Medicare generally not impacted. Means-tested programs (Medicaid, SSI) may be affected if cash retained raises assets above thresholds.

F - ICP & borrower psychology

Who this helps

Retired homeowners who are house-rich and cash-flow-tight - significant equity, fixed income (Social Security + pension), savings depleted or under pressure.

Dimension	Profile
Home	Paid-off or low balance; values rising but no access to equity
Income	Fixed - cannot qualify for traditional refinancing
Trust	Extremely low toward financial professionals; must be earned through education
Decision style	Slow, cautious; researches weeks or months; family input matters
Barriers	Fear of scams, family skepticism, confusion about how it works

Before state (their pain)

- Living on fixed income while bills and property costs rise.
- Savings draining month by month; credit cards creeping up.
- Choosing between groceries, utilities, or medications.
- Home repairs delayed; feeling stuck in a valuable asset they cannot use.
- Fear of becoming a burden to adult children.

After state (what they want)

- Monthly cash flow without stress; bills paid without juggling.
- Emergency fund that is actually there.
- Fix the house; travel to see grandkids; enjoy retirement instead of surviving it.
- Live with dignity and independence - not asking children for help.

Personas

Persona	Core fear	What resonates
Widowed homeowner	Alone, scared, doesn't want to leave memories	Security, staying in the home, independence
Married couple	Worked hard, still stressed every month	Enjoy retirement together; legacy matters
Veteran	Proud, skeptical of "handouts"	Independence - strategic tool, not charity

Emotional pain pairs (for empathy - not to recite)

Situation	Identity-level impact
Can't afford groceries or medication	Loss of dignity; fear-based decisions
Delaying home repairs	Living in worry; feeling unsafe at home
Fear of outliving savings	Long-term anxiety; time feels like the enemy
Shame about struggling	Self-blame; resistance to asking for help
Confusion about options	Decision paralysis; distrust of professionals

G - Product objections - truth anchors

Use the fear to empathize, the truth to educate briefly. Booking behavior is in the prompt.

Objection	Fear	Truth anchor	How to explain (high level)
"The bank will take my house."	Loss of home and security	Borrower remains owner; non-recourse	You stay the owner. As long as you live there and meet basic responsibilities, the home stays yours.
"My kids will inherit debt."	Being a burden; guilt	Non-recourse; heirs never personally liable	Your children are never personally responsible. The loan is repaid from the home's value - not from their pockets.
"Will this affect my Social Security or Medicare?"	Loss of essential benefits	Proceeds generally not counted as income	Generally does not count as income for SS/Medicare - but specifics depend on their situation; LO confirms.
"I've heard horror stories."	Distrust; fear of scams	Old unregulated programs vs today's HECM	Most horror stories come from older programs. Today's version is federally insured and heavily regulated.
"This sounds too good to be true."	Hidden costs; skepticism	Accessing built equity; costs disclosed upfront	This isn't magic - it's accessing equity you've already built. All costs are disclosed upfront.
"I don't want more debt."	Financial burden	No required monthly mortgage payments	No required monthly payments. Instead of money going out every month, money can come in or payments can stop. Property charges still apply.
"What if I live a long time?"	Running out of equity	Non-recourse; can't owe more than home value	Built into the program - loan does not come due just because you live longer, as long as you meet obligations.
"I want to leave my home to my kids."	Legacy loss	Heirs can keep home or sell; remaining equity to heirs	Heirs can keep the home by paying off the balance, or sell. Any remaining equity goes to them.
"The fees are too high."	Being taken advantage of	Regulated, disclosed fees; can be financed into loan	All fees are regulated and disclosed upfront. Costs can often be financed into the loan.

H - HEI / equity-sharing

What HEI is (product knowledge)

Home equity investment (HEI) / shared equity / equity-sharing agreement: A company provides cash upfront in exchange for a share of the home's future value. It is an investment, not an FHA-insured loan. Repayment typically happens when the home is sold or at end of term.

How HECM differs (product knowledge)

	HEI / equity-sharing	HECM reverse mortgage
Structure	Investment in future home value	Federally insured loan against equity
Ownership	Homeowner keeps title (terms vary by provider)	Borrower keeps title
Monthly payments	Typically none	No required monthly mortgage payment
Consumer protections	Varies by provider and contract	FHA-insured; required independent counseling; non-recourse
Repayment	Share of appreciation / buyout at sale or term	Loan repaid on sell, move out, or last borrower passes
Legacy impact	Equity share reduces what stays in the estate	Heirs get remaining equity after loan paid; non-recourse cap

Why people confuse them

Both are marketed around accessing equity and no monthly payments. The differences that matter long-term: how much equity is retained, when and how repayment happens, consumer protections, and impact on heirs.

How to respond (knowledge only - prompt handles tone and booking)

- Stay neutral. Never disparage HEI providers by name or say one option is "better."
- Acknowledge they are doing the right thing by researching.
- Explain the structures are different - investment vs federally insured loan program.
- Note the right fit depends on their goals, timeline, how long they plan to stay, and legacy priorities.
- Defer side-by-side comparison on their specific home to the LO on the call.

Common HEI-related questions

Lead asks...	What to know
"Is this the same as home equity investment companies?"	No - different structures. HEI is equity-sharing; HECM is a federally insured loan program for retired homeowners.
"They said I don't have to take a loan."	HEI is structured as an investment, not a loan. Tradeoffs differ around equity retained, repayment timing, and long-term cost.
"What's the difference between HEI and reverse mortgage?"	HEI = sharing future home value. HECM = loan against equity with FHA insurance and non-recourse protections.

Lead asks...	What to know
"I'm comparing options online."	Valid approach. Personalized comparison requires their specific home, equity, and goals - belongs on an educational call.

Related docs (repo source of truth)

- [RM Compliance Guardrails](rm-compliance-guardrails.md)
- [Intelligence RM Product](intelligence-rm-product.md)
- [Intelligence ICP RM](intelligence-icp-rm.md)
- [RM Borrower Objections](rm-borrower-objections.md)